

Automated Teller Machines

ATM fees are huge money generators for banks. Originally, ATMs were intended to reduce banks' expenses by automating tasks that previously involved a live teller. Now many banks charge fees for the use of ATMs.

There are several different types of ATM fees. Some banks charge you a fee just to have the use of an ATM card. Others charge ATM access fees, which are weekly, monthly, or yearly fees in addition to the regular account fees. When you use an ATM that is not owned by your bank, you'll incur a surcharge, which is a fee in addition to fees charged by your own bank, a practice called double-dipping.

Out-of-Network Fees

Using an ATM that is not in your bank's network is a costly convenience. Here's how it works: You withdraw \$20 from an ATM that doesn't belong to your bank and incur a \$1.50 fee. Your bank then adds an out-of-network surcharge of \$3.00. You've just paid service fees totaling 22.5 percent of your withdrawal amount to the two banks to access \$20 of your own money.

Banks may also charge a fee, commonly \$1.50 to \$2.00, if you use an ATM to get a cash advance on your credit card. In addition, the credit card company will probably charge a fee for the cash advance, usually around 3 percent of the total advanced, with a minimum fee of \$5.00. To make things worse, cash advances on credit cards may have a higher interest rate and be paid off last.



Beware of skimming devices posing as ATMs. They record electronically stored information from the magnetic stripe of your card or your personal